

LIVEWIRE: 5 YEARS IN AND 1% OF PLAN · PART 3 OF 4

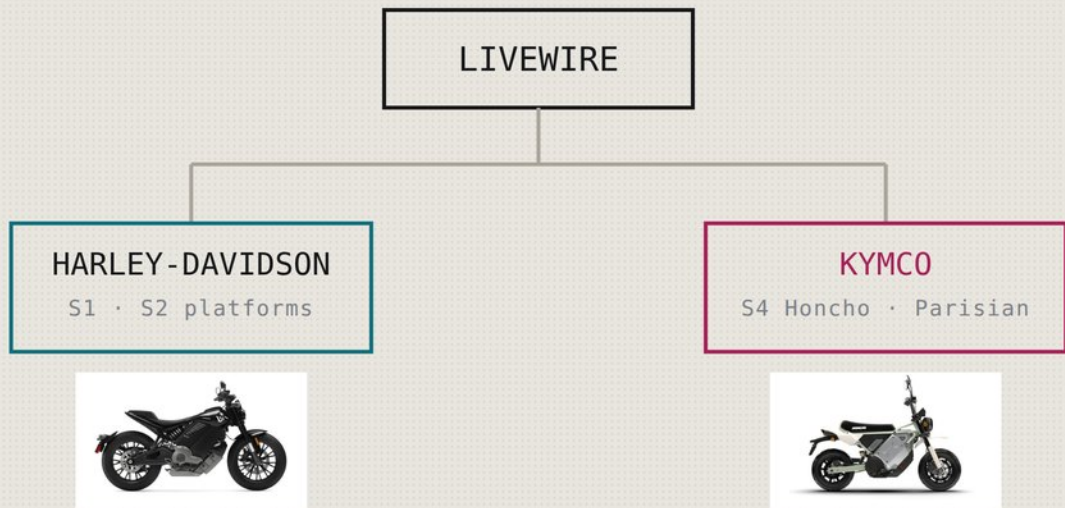
TWO CONTRACTS, ONE TRAP

Why selling more motorcycles does not fix this.



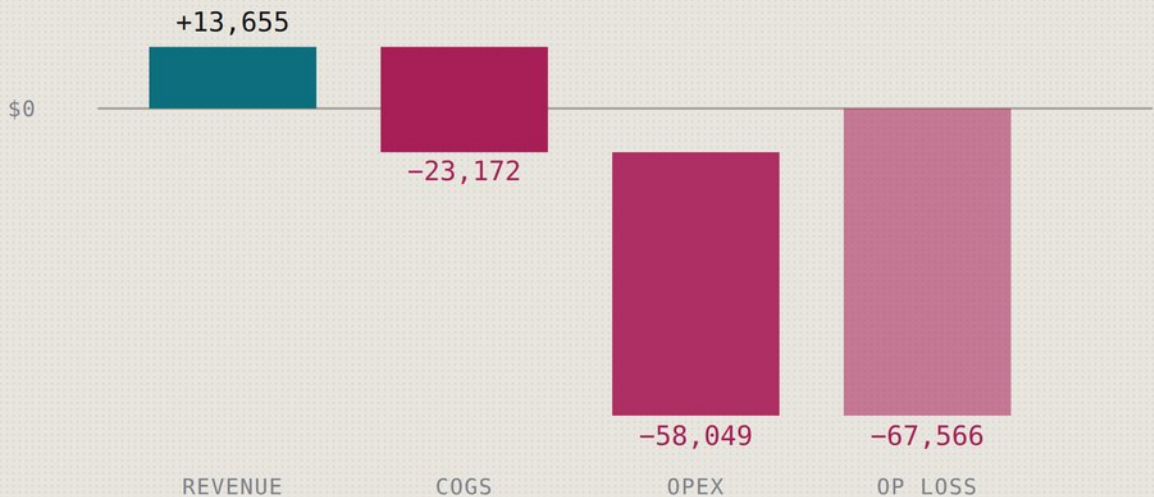
KYMCO ASSEMBLY LINE, TAIWAN · MANUFACTURER IMAGE

TWO CONTRACT MANUFACTURERS, SIGNED THE SAME DAY



Both dated 26 September 2022. Both carry minimum annual volume commitments. Both charge a deficit fee if the volume is missed.

WHERE THE MONEY GOES, PER MOTORCYCLE



The motorcycle is nearly a rounding error.
\$58,049 of overhead per unit is the business.

THE PART NOBODY REPORTS

87%

OF Q2'S GROSS LOSS WAS INVENTORY WRITE-DOWNS
— NOT THE COST OF BUILDING THE MOTORCYCLE

GROSS LOSS, Q2 2026 — \$2,534K

NRV WRITE-DOWNS \$2,204K

EVERYTHING ELSE

Harley builds the motorcycles. **LiveWire** buys them at **cost-plus** — Harley's cost, plus a mark-up. Then writes them down to what they can actually be sold for.

The transfer price exceeds the market value.



S2 DEL MAR - BOUGHT FROM HARLEY AT COST-PLUS, WRITTEN DOWN ON ARRIVAL

THE FY2025 10-K, EXPLAINING WHY COSTS IMPROVED

"...primarily driven by a significant decrease of the number of motorcycles purchased in 2025 as compared to 2024 resulting in lower net realizable value adjustments..."

LIVEWIRE GROUP, FORM 10-K, FILED 20 FEBRUARY 2026

MARGINS IMPROVED BECAUSE THE COMPANY BOUGHT FEWER MOTORCYCLES.

SO DON'T BUY THEM. EXCEPT.

BUY THE MOTORCYCLES

They are
worth
less than
you paid

87% OF Q2'S GROSS LOSS

DON'T BUY THEM

\$6.1M

2023 PROVISION FOR EXCESS
INVENTORY COMPONENTS HELD BY H-D
UNDER THE CONTRACT MANUFACTURING
AGREEMENT



MOTORCYCLES ON A BENCH, WAITING FOR PARTS · FILE IMAGE

Parts Harley had already procured to build motorcycles LiveWire didn't take. **There is no third option.**

BEGINNING CALENDAR 2027

MINIMUM ANNUAL VOLUME COMMITMENTS, PER PRODUCT, WITH A DEFICIT FEE.

To Harley-Davidson — and, under the agreement amended in May 2026, to KYMCO as well.



The exposure that already cost \$6.1 million once now exists in duplicate — and stops being discretionary.

THE THIRD DOCUMENT • MASTER SERVICES AGREEMENT



90

DAYS' NOTICE. EITHER PARTY. NO TRIGGER REQUIRED.

Everyone quotes the "forty percent" clause. The paragraph under it — §8.3(c) and §8.4 — lets Harley-Davidson end the services agreement **for convenience**. Payroll, IT, the building, engineering support. Ninety days.

THE ECONOMICS WERE NOT DECIDED BY THE MARKET. THEY WERE DECIDED BY THE TERMS.



NEXT: THE LOAN, AND THE PEOPLE WHO DID THE WORK ANYWAY

Part 4: the loan that settled it eight months before the quarter — and the people who did the work anyway.

Full brief — the KYMCO Exhibit A, redacted cell by cell, is in there.
weppner58-moto.github.io/ground-truth